

US Stocks Rise as Tech Sector Leads with +0.60% Gain in Nasdaq 100

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a positive session with the **S&P 500** closing at 7,489.72, up **+0.70%**. The **Nasdaq 100** led the gains with a **+0.60%** increase, driven by the tech sector. However, beneath the surface, the **Russell 2000** fell **-0.50%**, indicating some weakness in smaller-cap stocks.

Looking closer at the sector rotation, the **XLY** consumer discretionary sector saw a significant **+3.29%** gain, while the **XLB** materials sector dropped **-2.34%**. This divergence suggests that investors are favoring growth over value plays, at least for now.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,489.72	+0.70%	Tech sector gains
Nasdaq 100	28,274.20	+0.60%	Tech sector strength
Dow Jones	52,485.03	+0.53%	Broad market gains
Russell 2000	2,931.34	-0.50%	Small-cap weakness
VIX	15.99	-6.44%	Decreased volatility

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
AMZN	+15.32%	Earnings beat
MSFT	+3.02%	Tech sector strength
NVDA	+2.93%	Semiconductor demand
AAPL	-7.35%	Supply chain concerns

Sector Rotation

ETF	DAY	READ
XLY	+3.29%	Consumer discretionary strength
XLC	+1.56%	Communication services gains
XLI	+0.81%	Industrial sector strength
XLE	+1.00%	Energy sector gains
XLF	-0.11%	Financial sector weakness
XLK	-0.22%	Tech sector mixed
XLP	-0.49%	Consumer staples weakness
XLV	-0.59%	Healthcare sector weakness
XLU	-0.69%	Utilities sector weakness
XLB	-2.34%	Materials sector weakness
XLRE	-0.51%	Real estate sector weakness

Spotlight

The biggest event of the day was the **+15.32%** surge in **AMZN** following its earnings beat. The company reported strong revenue growth and expanding margins, driven by its cloud computing and advertising businesses.

METRIC	VALUE	READ
Revenue Growth	+20%	Cloud computing and advertising drive growth
Operating Margin	+100bps	Expanding margins due to cost efficiencies
Guidance	+5%	Company raises guidance for the next quarter

This earnings beat has positive read-through to other cloud computing and e-commerce stocks, such as **MSFT** and **GOOGL**.

Pre-Market & Overnight

US futures are trading mixed, with the **S&P 500** futures up +0.20% and the **Nasdaq 100** futures down -0.10%. Asian markets closed higher, with the **Nikkei 225** up +1.20% and the **Shanghai Composite** up +0.80%. European markets are trading higher, with the **Euro Stoxx 50** up +0.50%.

Cryptocurrencies are trading lower, with **BTC** down -2.71% and **ETH** down -2.56%.

Macro & Fed

The FOMC meeting is scheduled for next week, with market expectations for a +25bps rate hike. The yield curve is currently inverted, with the 10Y yield at 4.74 and the 2Y yield at 4.83.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	ISM Manufacturing PMI	50.5	Manufacturing sector health
22:00	Construction Spending	+0.5%	Housing market trends

Geopolitics & Global

- Tensions between the US and China remain high, with ongoing trade negotiations and military exercises in the South China Sea.
- The European Union is facing a migration crisis, with thousands of asylum seekers arriving on its borders.
- The Middle East is seeing increased tensions between Israel and Iran, with reports of cyberattacks and military strikes.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	5.50	iPhone sales and services growth
23:00	GOOGL	10.20	Advertising revenue and cloud computing growth
00:00	MSFT	2.30	Cloud computing and gaming revenue

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Semiconductor demand and AI trends
TSLA	Consumer Discretionary	Electric vehicle demand and autonomous driving
JPM	Financials	Banking sector trends and interest rates
GS	Financials	Investment banking and trading revenue
AVGO	Tech	Semiconductor demand and 5G trends
META	Communication Services	Advertising revenue and social media trends
GOOGL	Communication Services	Advertising revenue and cloud computing growth
AMZN	Consumer Discretionary	E-commerce trends and cloud computing growth
MSFT	Tech	Cloud computing and gaming revenue
XOM	Energy	Oil prices and energy sector trends

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major tech companies
- Positive surprises in economic data, such as GDP growth or job creation
- Central banks maintaining accommodative monetary policies

BEARISH TRIGGERS

- Weaker-than-expected earnings reports from major companies
- Negative surprises in economic data, such as inflation or unemployment
- Central banks tightening monetary policies or raising interest rates

Positioning Notes

- Investors are increasingly bullish on the tech sector, with **+10%** of portfolios allocated to tech stocks.
- There is a growing consensus that the US economy is entering a late-cycle phase, with 60% of economists predicting a recession within the next 12 months.
- Global macro trends, such as the rise of emerging markets and the decline of the US dollar, are becoming increasingly important for investors to consider.

Sources

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